

importantly, REITS are allowed to invest in income-bearing assets only and mandated to return more than 90 per cent of the rents they get as annual income to investors. The pooling gives an excellent opportunity to investors with small ticket sizes who cannot afford to invest in a single property. It also diversifies the risk across multiple projects and is tax efficient.

REITs are extremely popular in developed markets. Their evolution is an indicator of the potential and the future path of real estate investment in India.

While the Indian regulator, SEBI, and the government have been keen to bring REITs to India, progress has been extremely slow. The last hurdles in taxation are being cleared only now. InVITs, similar to REITs but with the underlying assets being in the infrastructure space, have already been launched and are traded in the Indian stock market. REITs should follow soon. This will bring far more transparency and broader retail participation in the real estate market. Several large foreign funds that have invested heavily in commercial real estate are expected to monetize their assets through REITs in the coming years.

Busting the myth: Real estate as an asset class is safe as a house

Lessons from the world

Investors across the world, especially in English-speaking countries, have a fascination for real estate as an asset class and for reasons not too different from what we discussed earlier in this chapter. However, we have far more comprehensive data for the developed markets than for India and, thus, it becomes far easier to apply cold logic to these markets. In the US, for example, data is available from the early years of the twentieth century and throws up some startling findings. Since 1900, real estate in the US has given an annual compounded return of 0.4 per cent as against an annual return of 5 per cent from the Dow Jones, the standard benchmark of the US stock market.